

#	Case Name	
1	American Lending Center Holdings Inc. vs. Zhou 2025-01507222	Motion to Compel Production Continued to 10/14/2026 in Dept. CM02
2	Henggeler vs. The Pegasus School 2024-01438973	Demurrer to Amended Complaint Defendant The Pegasus School's demurrer to plaintiff Jerilynn Henggeler's second amended complaint ("SAC") is sustained without leave to amend. [ROA ## 98 Defendant's unopposed request for judicial notice is granted. Legal Standard for Demurrer A demurrer can be used only to challenge defects that appear within the "four corners" of the pleading – which includes the pleading, any exhibits attached, and matters of which the court is permitted to take judicial notice. <i>Blank v. Kirwan</i> (1985) 39 Cal.3d 311, 318; <i>Donabedian v. Mercury Ins. Co.</i> (2004) 116 Cal.App.4th 968, 994. Limited to the "four corners" as such, a pleading is adequate if it contains a reasonably precise statement of the ultimate facts, in ordinary and concise language, and with sufficient detail to acquaint a defendant with the nature, source and extent of the claim. <i>Leek v. Cooper</i> (2011) 194 Cal.App.4th 399, 413. On demurrer, a complaint must be liberally construed. Code Civ. Proc. § 452; <i>Stevens v. Superior Court</i> (1999) 75 Cal.App.4th 594, 601. All material facts properly pleaded, and reasonable inferences, must be accepted as true. <i>Aubry v. Tri-City Hospital Dist.</i> (1992) 2 Cal.4th 962, 966-967. Discussion <i>First Cause of Action for Intentional Misrepresentation</i> The statute of limitations is three years. Code Civ. Proc. §338(d).

Where the allegations of the complaint (or judicially noticeable facts) show the claim is time-barred, it is the plaintiff's burden to plead around the statute of limitations. *Czajkowski v. Haskell & White, LLP* (2012) 208 Cal.App.4th 166, 174-175.

Here, there can be no doubt but that the three year statute of limitation for an action on assurances made to Plaintiff in 2017 ran before Plaintiff filed her initial complaint on 11/8/24. Accordingly, Plaintiff's assertion of "relation back" does not help.

Plaintiff also contends tolling under Code of Civil Procedure section 1281.98(b)(1), "If the employee or consumer withdraws the claim from arbitration and proceeds with an action in a court of appropriate jurisdiction, the statute of limitations with regard to all claims brought or that relate back to any claim brought in arbitration shall be tolled as of the date of the first filing of a claim in any court, arbitration forum, or other dispute resolution forum".

But even if Plaintiff's three years has not already run by the time she demanded arbitration on 9/2/20, any tolling ceased by 11/11/20.

Finally, Plaintiff refers to delayed discovery and equitable tolling. But Plaintiff's stated date for delayed discovery is February 2018, which is still far more than three years before she filed – even if the running of the statute was tolled while her arbitration demand was alive. As for equitable tolling, Plaintiff has not alleged any facts to establish that Defendant is equitably barred from asserting the statute of limitations as a defense.

A showing of equitable estoppel requires: (a) a representation or concealment of material facts (b) made with knowledge, actual or virtual, of the facts (c) to a party ignorant, actually and permissibly, of the truth (d) with the intention, actual or virtual, that the ignorant party act on it, and (e) that party was induced to act on it." *Transport Ins. Co. v. TIG Ins. Co.* (2012) 202 Cal.App.4th 984, 1013 (citation omitted).

For these reasons, the demurrer to the first cause of action for intentional misrepresentation is sustained.

Second Cause of Action for Breach of Contract

The court previously found that Plaintiff has not alleged cognizable damages for Defendant's failure to pay for arbitration because at that point she was free to pursue her action in court. [ROA #71.]

The SAC does not remedy this.

In her SAC, Plaintiff alleges she “is requesting nominal damages of \$1 to establish that a legal violation occurred for the following purposes: (1) to pursue additional remedies, (2) to pursue attorney fees, legal costs, and other sanctions, (3) to preserve her right to appeal, (4) to deter repeat behavior, (5) to establish a legal record that may help in future related disputes, and (6) as a matter of principle.” [SAC, ¶ 64.]

This is not an allegation of damages.

The demurrer to the second cause of action is sustained.

Third Cause of Action for Breach of the Covenant of Good Faith and Fair Dealing

To state a claim for breach of the covenant of good faith and fair dealing, a plaintiff must prove all of the following:

1. That plaintiff and defendant entered into a contract;
2. That plaintiff did all, or substantially all of the significant things that the contract required him/her/it to do, or that he/she/it was excused from having to do those things;
3. That all conditions required for defendant 's performance had occurred;
4. That defendant unfairly interfered with plaintiff 's right to receive the benefits of the contract; and
5. That plaintiff was harmed by defendant's conduct.

CACI 325.

Based on the above, Plaintiff has not alleged a viable action for breach.

Beyond that, in her SAC, Plaintiff alleges:

Pegasus, the party with the stronger bargaining position, willfully frustrated Henggeler’s right to receive the benefits of the contract by the following:

- a. by intentionally including an illegal arbitration provision in the contract and refusing to waive it to allow the arbitration to proceed
- b. by intentionally drafting a contract requiring disputes to be adjudicated under the more advantageous commercial arbitration rules despite awareness that consumer arbitration rules were clearly applicable. . . .

[SAC, ¶ 69.]

		Where the contract contains a provision for the Defendant to act as it did, case law does not support the existence of an implied covenant requiring it to act otherwise. <i>Carma Developers (Cal.), Inc. v. Marathon Development California, Inc.</i> (1992) 2 Cal.4th 342, 374 (“We are aware of no reported case in which a court has held the covenant of good faith may be read to prohibit a party from doing that which is expressly permitted by an agreement. On the contrary, as a general matter, implied terms should never be read to vary express terms. [Citations.]”), The demurrer to this cause of action is sustained. Defendant to give notice.
3	Holland vs. South Orange County Community College District 2022-01265727	Motion to Compel Deposition (Oral or Written) Defendant South Orange County Community College District’s motion to compel compliance with its deposition subpoena to third-party Palo Alto Medical Foundation is denied. “Unless otherwise limited by order of the court in accordance with this title, any party may obtain discovery regarding any matter, not privileged, that is relevant to the subject matter involved in the pending action or to the determination of any motion made in that action, if the matter either is itself admissible in evidence or appears reasonably calculated to lead to the discovery of admissible evidence...” (Code Civ. Proc., § 2017.010.) Defendant’s subpoena to third-party Palo Alto Medical Foundation requests “[a]ny and all records...pertaining to Joy M. Holland for all dates...” (Walsh Decl., Ex. A.) Defendant argues that there is good cause to compel production of these documents pursuant to its subpoena because Plaintiff complains of ongoing health issues including emotional distress, PTSD and major depressive disorder. (Walsh Decl., ¶¶ 3, 4, Ex. B.) Defendant “infers” that Plaintiff attributes these issues to Defendant. (Walsh Decl., ¶ 4.) Defendant contends that these records are relevant to its defenses with respect to Plaintiff’s discrimination and failure to accommodate claims in particular, because Plaintiff must prove that she had a mental disability and she could do the essential functions of her job. (See <i>Furtado v. State Personnel Bd.</i> (2013) 212 Cal.App.4th 729, 744.) This complies with the code and the motion is granted.